

Current price should not be more than 15 times average earnings of the past three years.

7. Moderate Ratio of Price to Assets

Current price should not be more than $1\frac{1}{2}$ times the book value last reported. However, a multiplier of earnings below 15 could justify a correspondingly higher multiplier of assets. As a rule of thumb we suggest that the *product* of the multiplier times the ratio of price to book value should not exceed 22.5. (This figure corresponds to 15 times earnings and $1\frac{1}{2}$ times book value. It would admit an issue selling at only 9 times earnings and 2.5 times asset value, etc.)

GENERAL COMMENTS: These requirements are set up especially for the needs and the temperament of defensive investors. They will eliminate the great majority of common stocks as candidates for the portfolio, and in two opposite ways. On the one hand they will exclude companies that are (1) too small, (2) in relatively weak financial condition, (3) with a deficit stigma in their ten-year record, and (4) not having a long history of continuous dividends. Of these tests the most severe under recent financial conditions are those of financial strength. A considerable number of our large and formerly strongly entrenched enterprises have weakened their current ratio or overexpanded their debt, or both, in recent years.

Our last two criteria are exclusive in the opposite direction, by demanding more earnings and more assets per dollar of price than the popular issues will supply. This is by no means the standard viewpoint of financial analysts; in fact most will insist that even conservative investors should be prepared to pay generous prices for stocks of the choice companies. We have expounded our contrary view above; it rests largely on the absence of an adequate *factor of safety* when too large a portion of the price must depend on ever-increasing earnings in the future. The reader will have to decide this important question for himself—after weighing the arguments on both sides.

We have nonetheless opted for the inclusion of a modest requirement of growth over the past decade. Without it the typical company would show retrogression, at least in terms of profit per dollar of invested capital. There is no reason for the defensive investor to include such companies—though if the price is low enough they could qualify as bargain opportunities.